

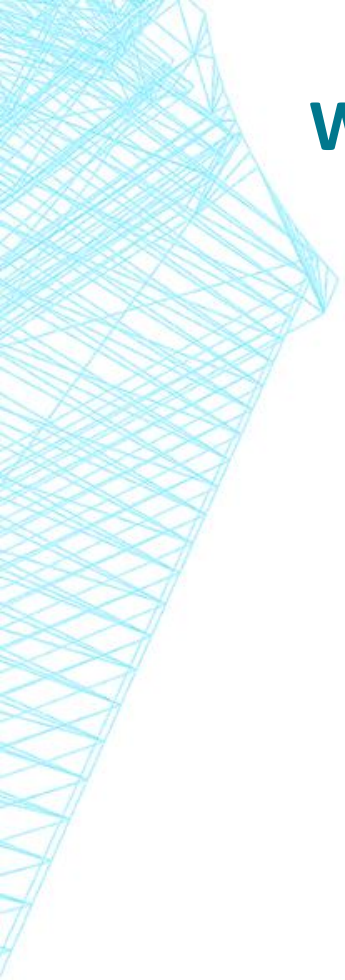
Human resource management (HRM)





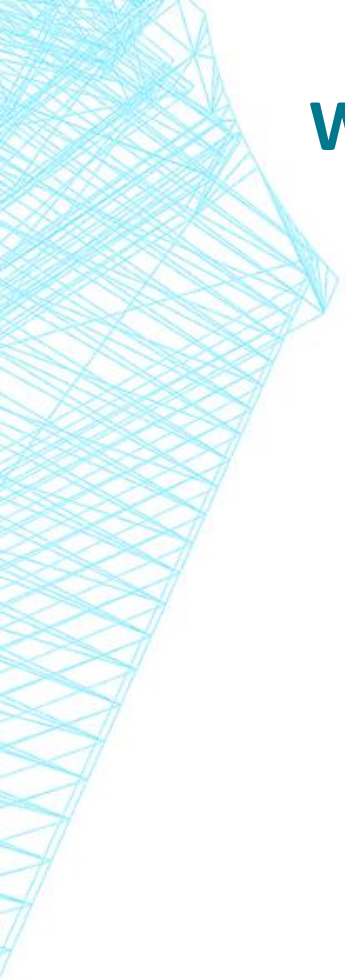
After Finishing This Lecture We Should Know The Following:

- **What Is HRM?**
- **What Is The Role of HRM?**
- **What are the skills needed for HRM?**
- **What are the steps in creating an HRM strategic plan?**



What Is HRM?

- **Human resource management (HRM)** is the **process** of **employing** people, **training** them, **compensating** them, **developing policies relating** to them, and **developing strategies** to **retain** them.
- As a field, **HRM has undergone many changes** over the last twenty years, giving it an even more important role in today's organizations.

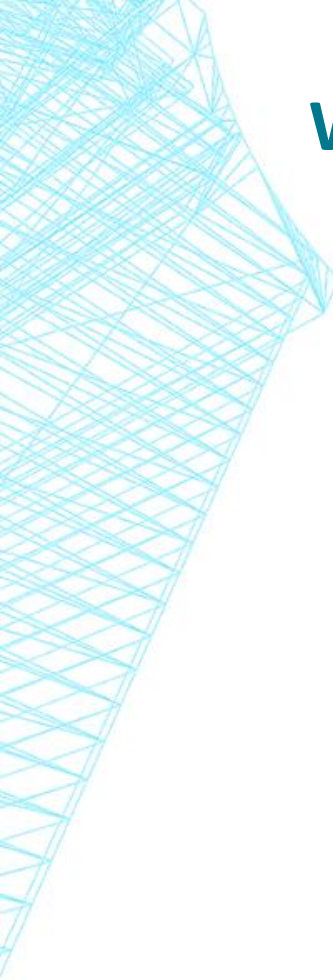


What Is The Role of HRM?

- Most experts agree on seven main roles that HRM plays in organizations. These are described in the following sections.

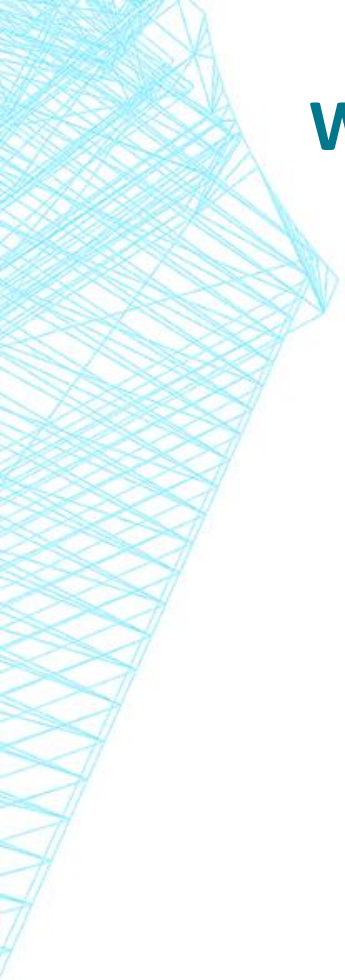
1- Staffing

- Staffing **involves** the entire **hiring process** from **posting a job** to **negotiating a salary package**.



What Is The Role of HRM?

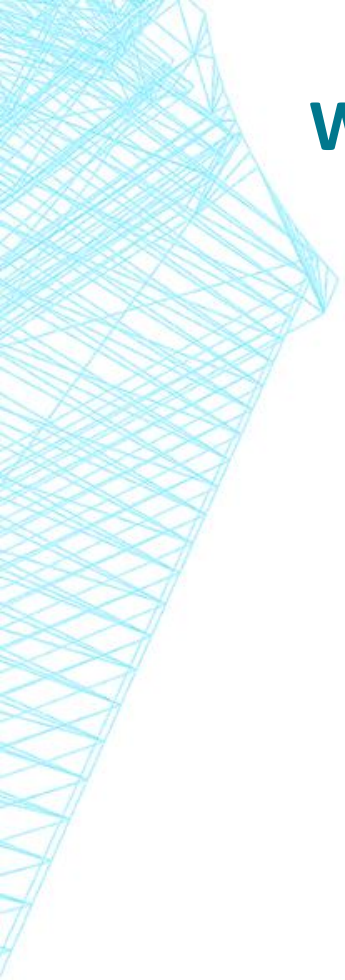
- Within the staffing function, there are four main steps:
 - **Development of a staffing plan.** This plan allows HRM to see how many people they should hire based on revenue expectations.
 - **Development of policies to encourage multiculturalism at work.** Multiculturalism in the workplace is becoming more and more important, as we have many more people from a variety of backgrounds in the workforce.
 - **Recruitment.** This involves finding people to fill the open positions.
 - **Selection.** In this stage, people will be interviewed and selected, and a proper compensation package will be negotiated.



What Is The Role of HRM?

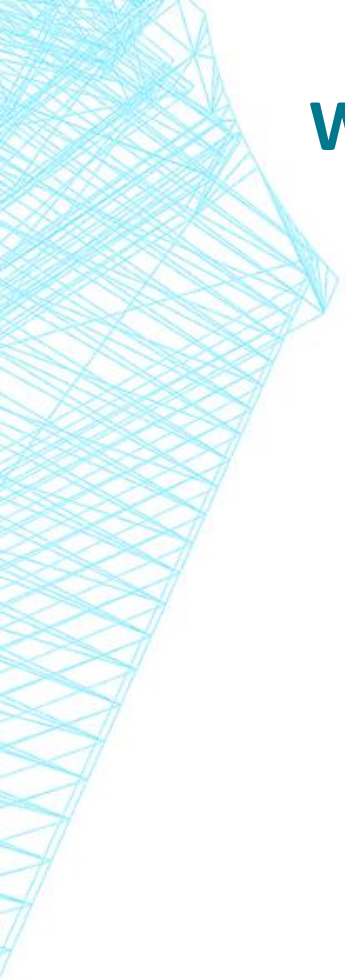
2- Development of Workplace Policies

- In the development of policies, HRM, management, and executives are involved in the process.
- For example, the HRM professional will likely recognize the need for a policy or a change of policy, seek opinions on the policy, write the policy, and then communicate that policy to employees.
- Everything they do needs to involve all other departments in the organization.



What Is The Role of HRM?

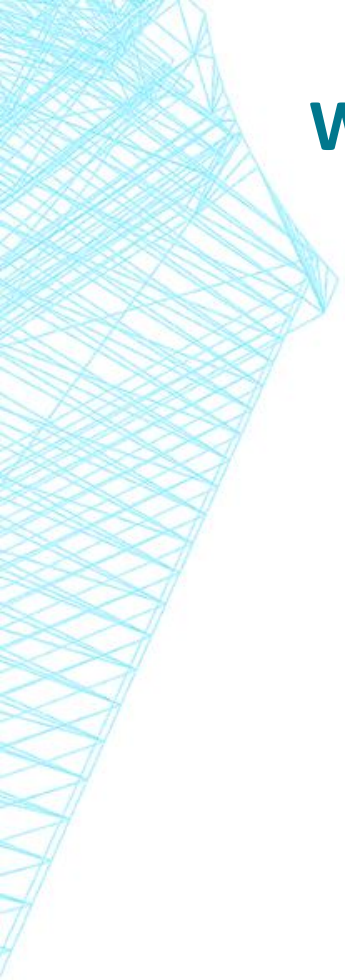
- Some examples of workplace policies might be the following:
 - Discipline process policy
 - Vacation time policy
 - Dress code
 - Ethics policy
 - Internet usage policy



What Is The Role of HRM?

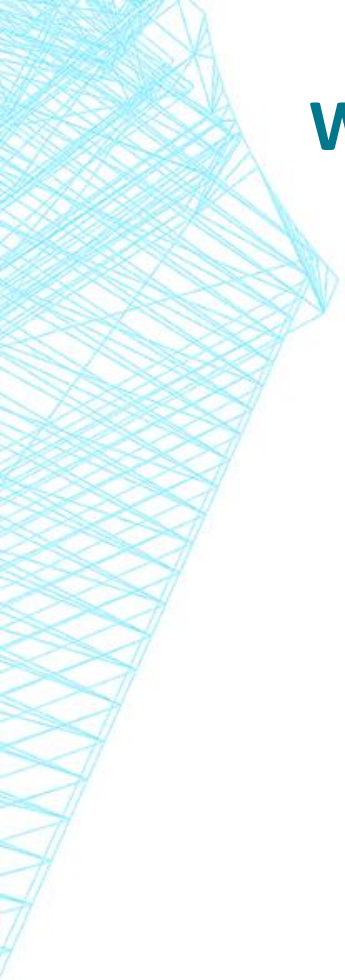
3- Compensation and Benefits Administration

- **Compensation** includes anything the employee receives for his or her work.
- In addition, **HRM** professionals need to make sure the pay is comparable to what other people performing similar jobs are being paid.
- This involves setting up pay systems that take into consideration the number of years with the organization, years of experience, education, and similar aspects.



What Is The Role of HRM?

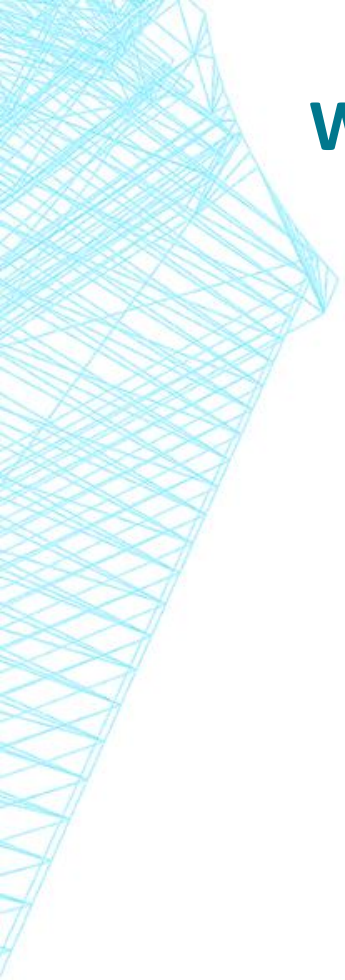
- **Examples of employee compensation include the following:**
 - Pay
 - Health benefits
 - Retirement plans
 - Stock purchase plans
 - Vacation time
 - Sick leave
 - Bonuses



What Is The Role of HRM?

4- Retention

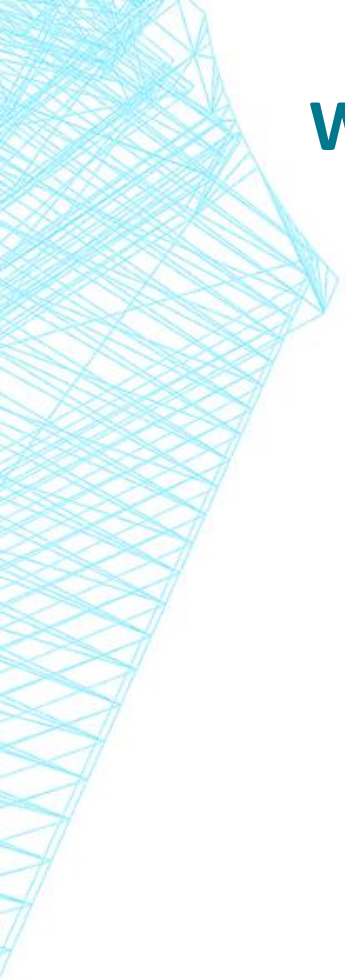
- **Retention** involves keeping and motivating employees to stay with the organization.
- **Ninety percent of employees leave** a company for the following reasons:
 - Issues around the job they are performing
 - Challenges with their manager
 - Poor fit with organizational culture
 - Poor workplace environment



What Is The Role of HRM?

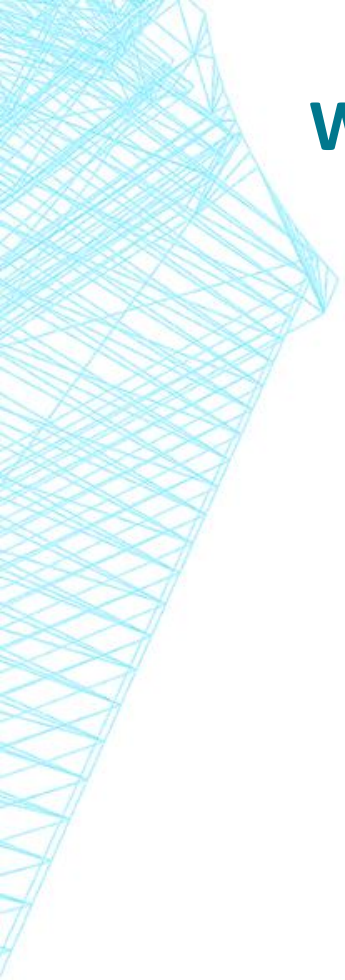
5- Training and Development

- Once we have **spent the time** to **hire** new **employees**, we want to **make sure** they not only are trained to do the job but also **continue to grow and develop new skills in their job**.
- This results in **higher productivity** for the organization.
- **Employees** who **feel** they are **developing** their **skills tend** to be **happier** in their **jobs**, which **results in increased** employee **retention**.



What Is The Role of HRM?

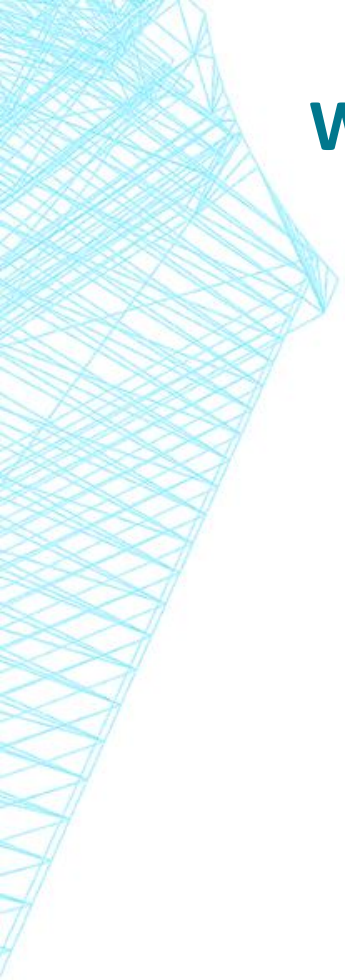
- **Examples of training programs might include the following:**
 - Job skills training, such as how to run a particular computer program
 - Training on communication
 - Team-building activities
 - Policy and legal training, such as ethics training



What Is The Role of HRM?

6- Dealing with Laws Affecting Employment

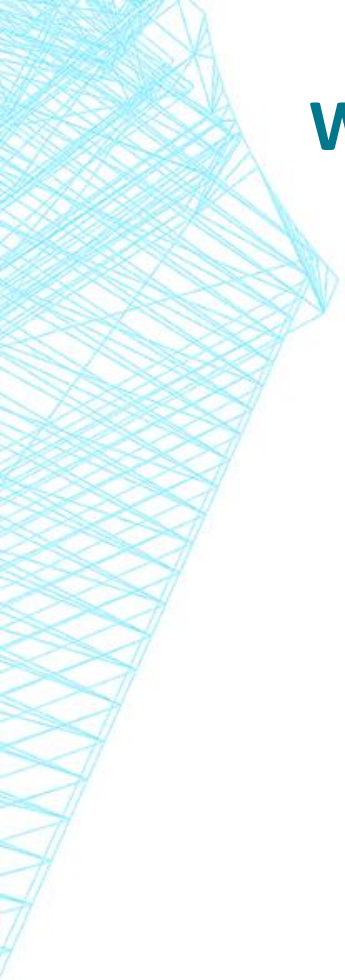
- Human resource people must **be aware of all the laws** that affect the workplace.
- **An HRM professional might work with some of these laws:**
 - Discrimination laws
 - Health-care requirements
 - Compensation requirements such as the minimum wage
 - Worker safety laws
 - Labor laws



What Is The Role of HRM?

7- Worker Protection

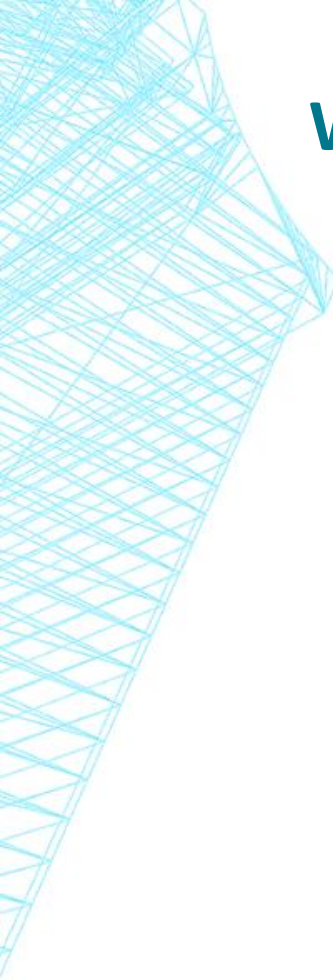
- It is up to the human resource manager to be aware of **worker protection requirements** and **ensure** the **workplace** is **meeting** both federal and union **standards**.
- **Worker protection issues might include the following:**
 - Chemical hazards
 - Heating and ventilation requirements
 - Protection of private employee information



What are the skills needed for HRM?

1- Organization

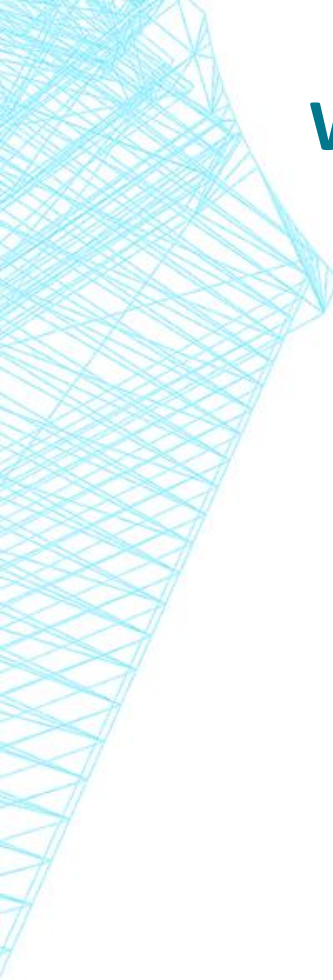
- The **first skill** needed is **organization**.
- The need for this skill makes sense, given that you are **managing people's pay, benefits, and careers**.
- **Having organized files** on your **computer** and good time-management skills are crucial for success in any job, but especially if you take on a role in human resources.



What are the skills needed for HRM?

2- Multitask

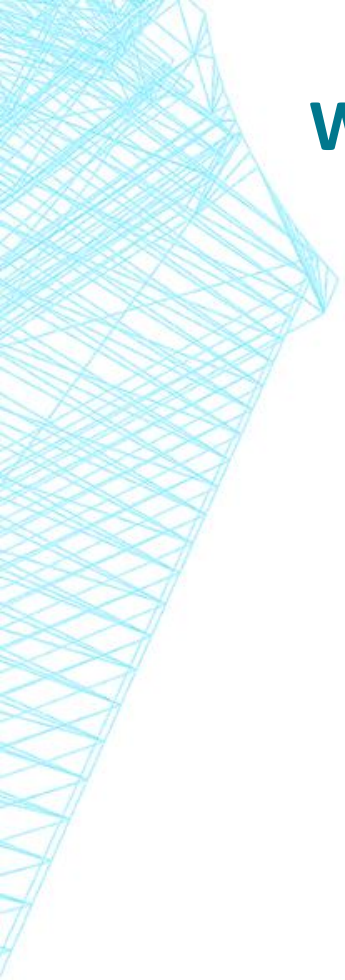
- Like most jobs, being able to **multitask**—that is, **work on more than one task at a time**—is **important** in managing human resources.
- A typical person managing human resources **may have to deal with an employee issue one minute, then switch and deal with recruiting.**
- **Unlike** many management **positions**, which **only focus on one task** or one part of the business, **human resources focuses on all areas of the business**, where multitasking is a must.



What are the skills needed for HRM?

3- Social skills

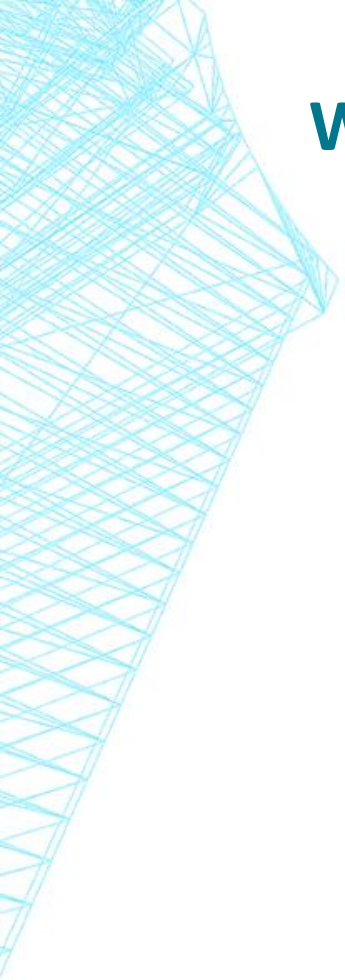
- **Social skills** are **necessary** in any **type of management** and **perhaps** might be the **most important skills** for achieving **success at any job**.
- **Being able to manage a variety of personalities, deal with conflict, and coach others** are all in the realm of people management.
- The **ability** to communicate good news (**hiring a new employee**), bad news (**layoffs**), and everything in between, such as changes to policy, makes for an excellent manager and human resource management (HRM) professional.



What are the skills needed for HRM?

4- Understanding specific job areas

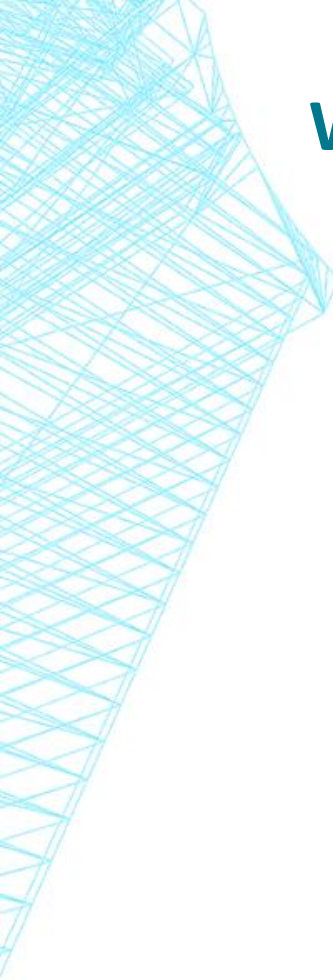
- Keys to a successful career in HRM or management include understanding specific job areas, such as managing the employee database, understanding employment laws, and knowing how to write and develop a strategic plan that aligns with the business.



What are the skills needed for HRM?

5- A strategic mind-set

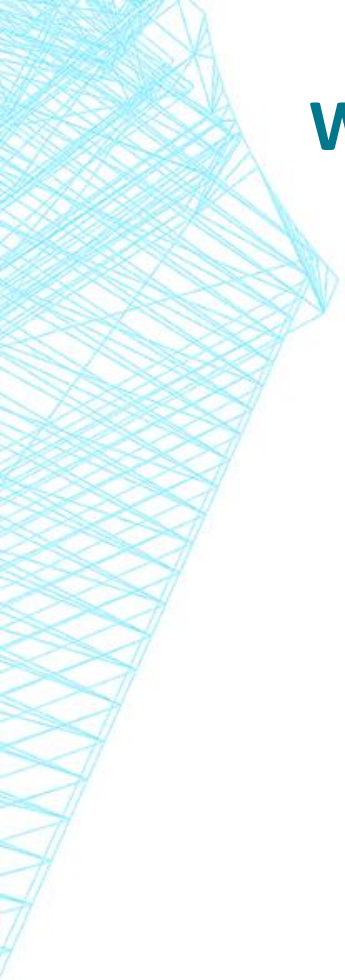
- A person with a strategic mind-set can plan far in advance and look at trends that could affect the environment in which the business is operating.
- The strategic HR professional is able to not only work within his or her area but also understand how HR fits into the bigger picture of the business.



What are the skills needed for HRM?

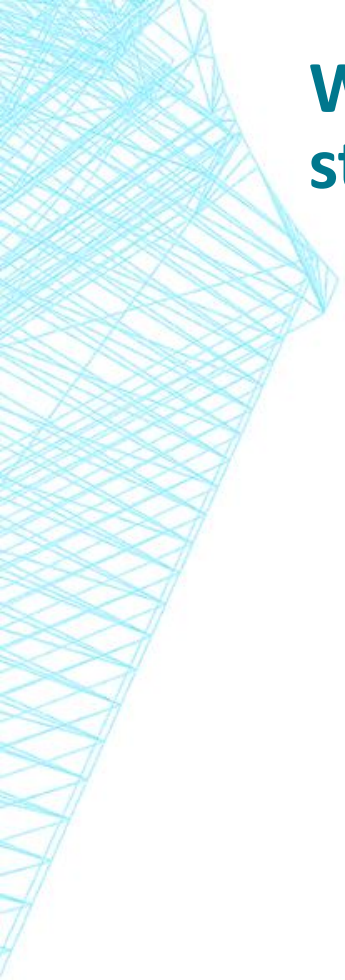
6- Ethics and a sense of fairness

- **Ethics** is a concept that **examines** the **moral rights and wrongs** of a certain situation.
- **Consider** the **fact that** many **HR managers** negotiate salary and union contracts and **manage conflict**.
- In addition, HR managers have the task of **ensuring compliance with ethics standards** within the organization.
- Many HR **managers** are **required** to work with **highly confidential information**, such as salary information, **so** a **sense of ethics** when managing this information is essential.



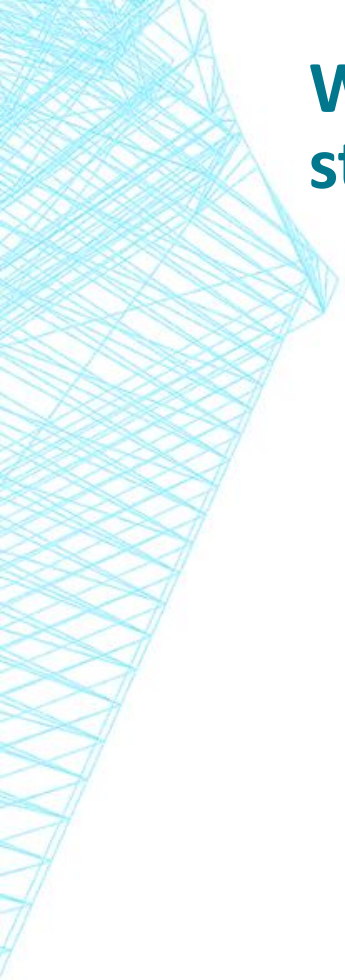
What is the meaning of the HRM strategic plan?

- A human resource strategic plan is an elaborate and systematic plan of action developed by a human resource department.
- In other words, the strategic plan may include long-term goals, while the HR plan may include short-term objectives tied to the overall strategic plan.



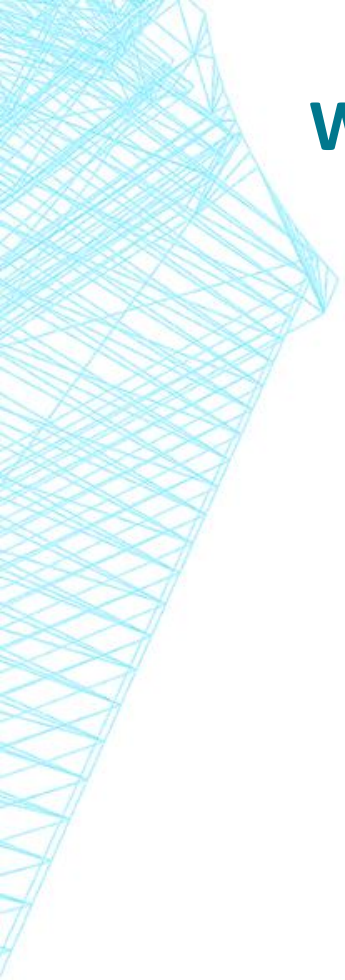
What are the components to consider when creating a good HRM strategic plan?

- **Make it applicable.** Often people spend an inordinate amount of time developing plans, but the plans sit in a file somewhere and are never actually used. A good strategic plan should be the guiding principles for the HRM function. It should be reviewed and changed as aspects of the business change.
- **Be a strategic partner.** The HRM strategic plan should be aligned with the mission and objectives of the organization as a whole. For example, if the mission of the organization is to promote social responsibility, then the HRM strategic plan should address this in the hiring criteria.



What are the components to consider when creating a good HRM strategic plan?

- **Involve people.** The **plan** should **involve everyone** in the **organization**. For example, **the HR manager** should **meet** with **various** people in **departments** and **find out** what **skills** the best employees have. Then the HR manager can make sure the people recruited and interviewed have similar qualities as the best people already doing the job.
- **Understand how technology can be used.** The **best organizations** are those that **embrace technology** and **find** the **right** technology uses for their businesses. There are **thousands of HRM software options that** can make the **HRM processes** faster, easier, and more effective.



What are the steps in creating an HRM strategic plan?

1- Conduct a Strategic Analysis

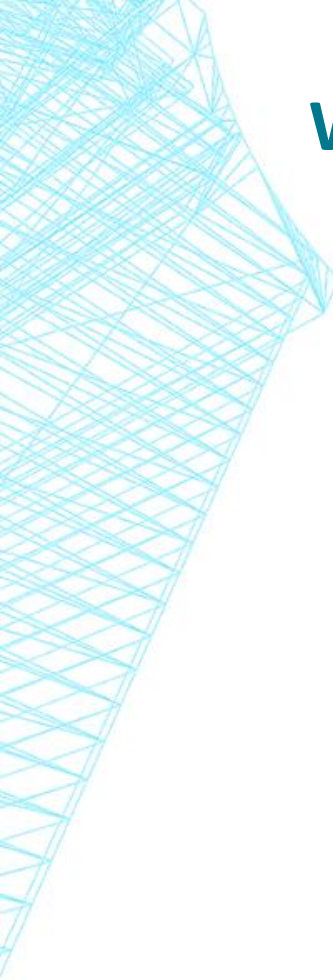
A strategic analysis looks at three aspects:

- Understanding of the company mission and values.
- ✓ It is **impossible** to **plan for HRM** if one does not know the values and missions of the organization.
- ✓ It is **imperative** for the HR **manager** to **align** department **objectives** with **organizational objectives**.

What are the steps in creating an HRM strategic plan?

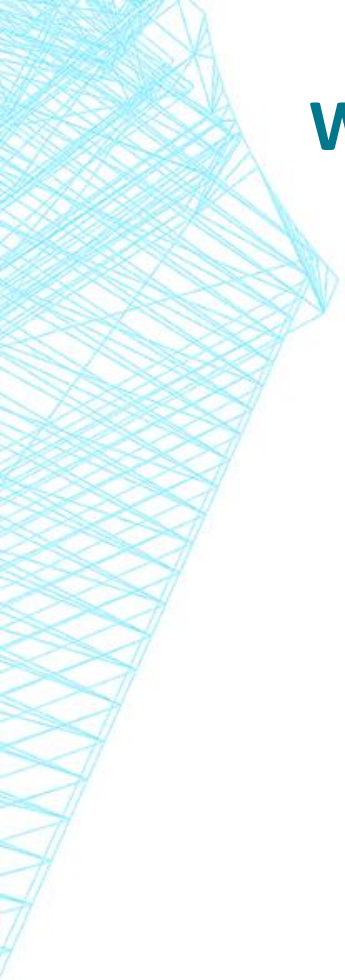
➤ Understanding of the organizational life cycle.

Life Cycle Stage	Staffing	Compensation	Training and Development	Labor / Employee Relations
Introduction	Attract best technical and professional talent.	Meet or exceed labor market rates to attract needed talent.	Define future skill requirements and begin establishing career ladders.	Set basic employee-relations philosophy of organization.
Growth	Recruit adequate numbers and mix of qualifying workers. Plan management succession. Manage rapid internal labor market movements.	Meet external market but consider internal equity effects. Establish formal compensation structures.	Mold effective management team through management development and organizational development.	Maintain labor peace, employee motivation, and morale.
Maturity	Encourage sufficient turnover to minimize layoffs and provide new openings. Encourage mobility as reorganizations shift jobs around.	Control compensation costs.	Maintain flexibility and skills of an aging workforce.	Control labor costs and maintain labor peace. Improve productivity.
Decline	Plan and implement workforce reductions and reallocations; downsizing and outplacement may occur during this stage.	Implement tighter cost control.	Implement retraining and career consulting services.	Improve productivity and achieve flexibility in work rules. Negotiate job security and employment-adjustment policies



What are the steps in creating an HRM strategic plan?

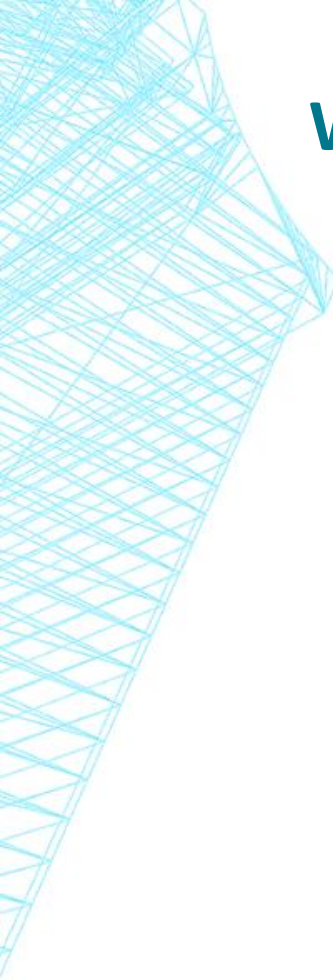
- Understanding of the HRM department mission and values.
 - ✓ HRM departments **must develop** their **own** departmental **mission** and **values**.
 - ✓ Brainstorming about HR goals, values, and priorities is a good way to start.
 - ✓ The **mission** statement should **express how** an organization's **human resources help** that **organization meet** the business **goals**.



What are the steps in creating an HRM strategic plan?

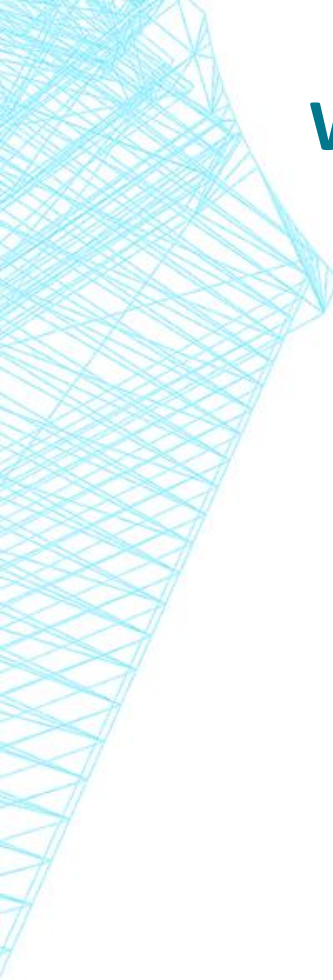
2- Identify Strategic HR Issues

- Many organizations and departments use a strategic planning tool that identifies strengths, weaknesses, opportunities, and threats (SWOT analysis) to determine some of the issues they are facing.
- Once this analysis is performed for the business, HR can align itself with the needs of the business by understanding the business strategy.



What are the steps in creating an HRM strategic plan?

- Once the alignment of the company SWOT is completed, HR can develop its own SWOT analysis to determine the gaps between HR's strategic plan and the company's strategic plan.
- For example, if the HR manager finds that a department's strength is its numerous training programs, this is something the organization should continue doing.
- If a weakness is the organization's lack of consistent compensation throughout all job titles, then the opportunity to review and revise the compensation policies presents itself.



What are the steps in creating an HRM strategic plan?

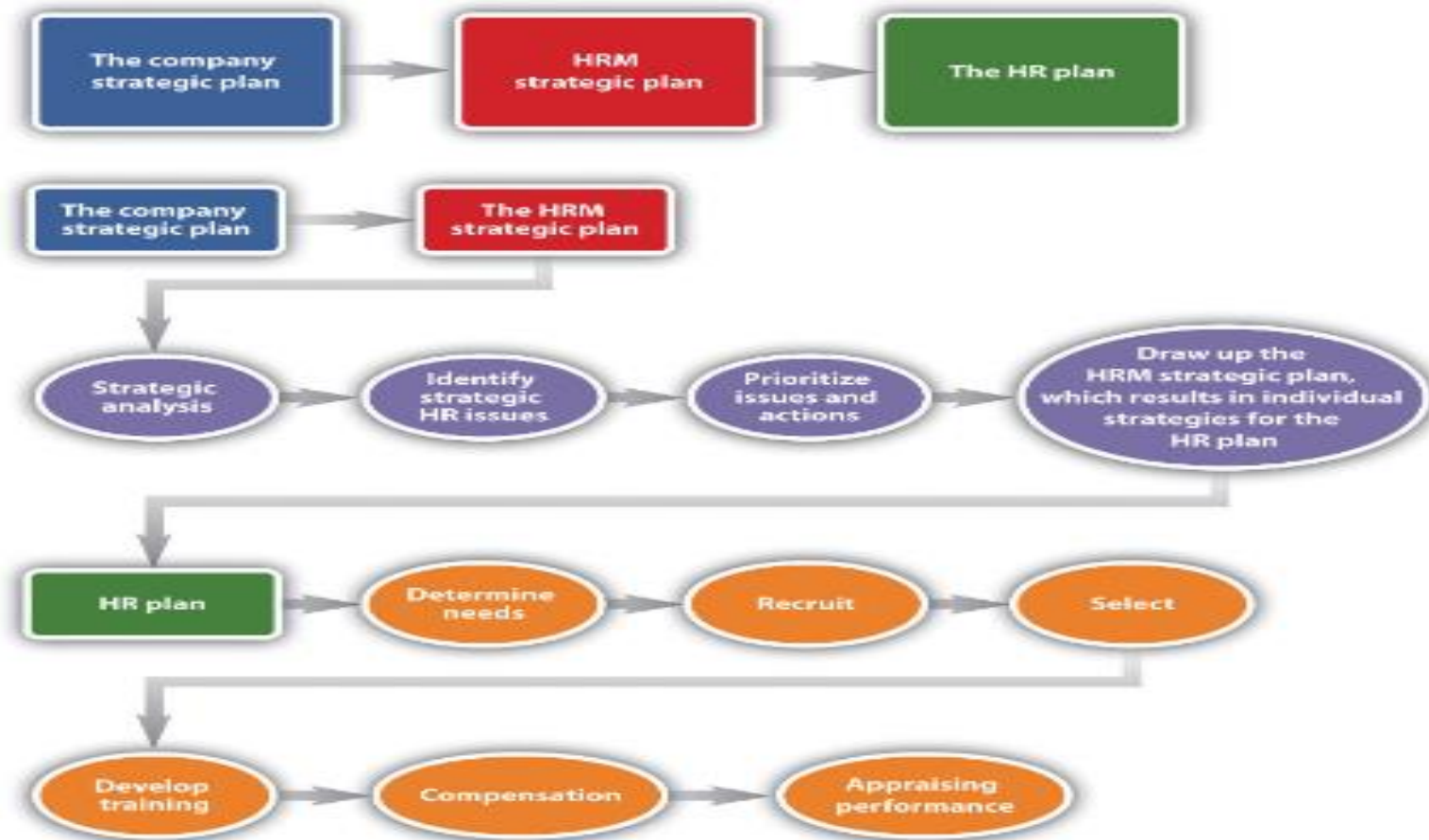
3- Prioritize Issues and Actions

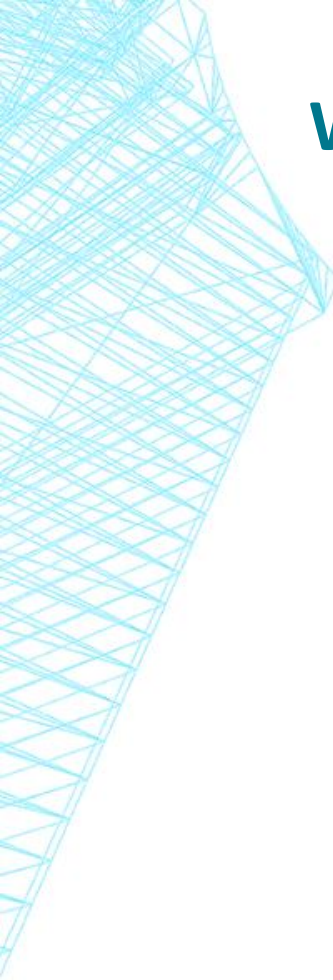
- Based on the data gathered in the last step, the HRM manager should prioritize the goals and then put action plans together to deal with these challenges.
- For example, if an organization identifies that they lack a comprehensive training program, plans should be developed that address this need.
- Once you have a list of issues you will address, discuss them with the management and executives, as they may see other issues or other priorities differently than you.

What are the steps in creating an HRM strategic plan?

4- Draw Up an HRM Plan

- Once the HRM manager has met with executives and management, and priorities have been agreed upon, **the plans** are ready to be developed.

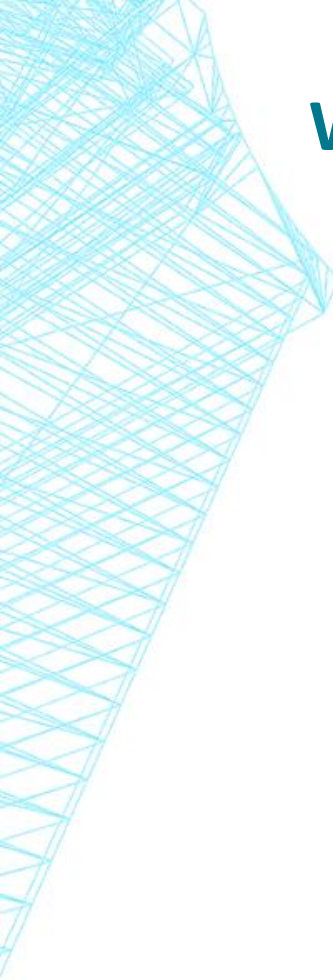




What are the steps in creating an HRM strategic plan?

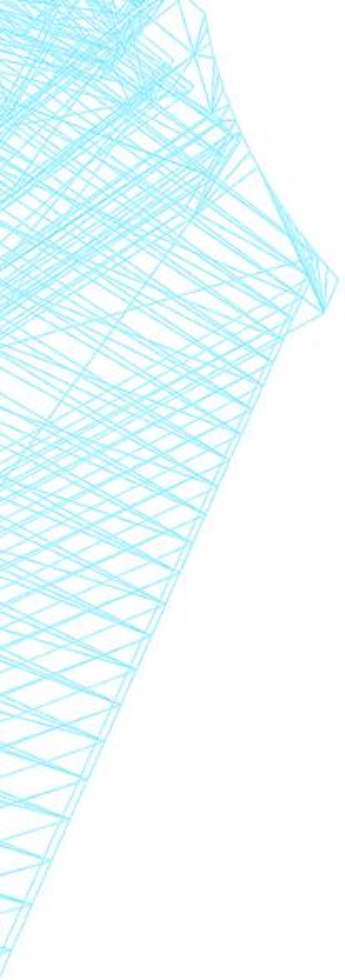
The HRM plan include the following:

- **Determine human resource needs.** What growth or decline is expected in the organization? How will this impact your workforce? What is the economic situation? What are your forecasted sales for next year?
- **Determine recruiting strategy.** Once you have a plan in place, it's necessary to write down a strategy addressing how you will recruit the right people at the right time.
- **Select employees.** The selection process consists of the interviewing and hiring process.



What are the steps in creating an HRM strategic plan?

- **Develop training.** Based on the strategic plan, what training needs are arising? Is there new software that everyone must learn? Are there problems in handling conflict? Whatever the training topics are, the HR manager should address plans to offer training in the HRM plan.
- **Determine compensation.** In this aspect of the HRM plan, the manager must determine pay scales and other compensation such as health care, bonuses, and other perks.
- **Appraise performance.** Sets of standards need to be developed so you know how to rate the performance of your employees and continue with their development.



THANKS